living in a 4-bedroom house paying rent, because that works well. Now, if one were to buy a 4-bedroom house to manage 15-20 years of their life, the higher cost for it would impact other financial goals and needs. Dynamic financial planning is about aligning finances to your values and changing life that ensures financial decisions are personally fulfilling and not following a textbook principle.

An aspect of traditional planning which has provided confidence to people that they can achieve their financial aspirations is goal-based financial planning. Goal-based planning is the process of helping you prioritise your financial goals and work out an optimal plan to fund it. For instance, your goal is to have Rs 20 lakh 10 years from now, when your eight-year-old son will enter college. To achieve this goal, you need to invest Rs 13,100 each month in a financial instrument earning 10 per cent returns. Generally, such an instrument tends to be a mutual fund, because mutual funds offer the convenience to invest each month regularly.

This encourages you to list all your financial goals and put them in a matrix considering the money you need and the time frame for it, with an assumed rate of return. There are numerous online resources and calculators which will throw up how much you need to invest each month to realise all these goals. It is a wonderful approach to break down your financial goals into a small regular investment. Imagine the ease of investing towards your retirement, children's education and accumulating funds for the down payment of a house all at the same time being convenient.

Mutual funds have done their bit in popularising goal-based investing, which has made accumulating any amount of money theoretically possible. There are tools specifically aimed at accumulating a crore, which is achievable if you start investing early (see *The crorepati fixation*) and continue to do so for long periods. Mutual funds allow you to make monthly investments through SIPs (systematic investment plans) which make reaching financial goals achievable. You can choose the type of fund you are comfortable with based on your risk appetite and ability to make SIP contributions.

With the goal-based investment approach, you have a roadmap for achieving specific financial outcomes rather than simply accumulating wealth. These days, goal-based calculators factor in inflation and encourage you to dynamically change your goals and contributions. Your unique circumstances and objectives such as age and risk profile are factored in to tailor the investment product to match closest to your needs. You can track the progress made on the accumulation front for each goal and modify it accordingly. For instance, if you are falling short a little on one goal, you could contribute more to it, while temporarily reducing the contribution to a goal where you have more time.

FINANCIAL ADVICE IS NO MORE GENERAL, IT IS SPECIFIC AND HAS MORE TO DO WITH PERSONAL THAN FINANCE, MAKING ADVICE FOR YOU UNIQUE AND DISTINCT





LOAN TO BRIDGE THE GAP

Traditional financial advice encourages borrowing to buy a house or fund education. These two loans fall under the asset-creating category because the value of a house is likely to go up in future and education can help you increase your income generation. From being that excellent financial tool for people who needed products and services now but didn't have the money for them, loans have become an easy way out. However, remember that every loan comes at a cost—repayment with interest through EMIs (equated monthly instalments).

Such is the influence of loans in one's life that it is rare to find someone not servicing a loan of some kind. Loans can play an essential role in financial planning in several ways, especially in financing large purchases like buying a house, which is otherwise almost impossible to achieve these days. You could also use credit to bridge the gap in your financial goals. For example, if you fall short on funds when purchasing a car, you could borrow the shortfall and buy that car. The same goes for funding a vacation or buying a gadget.

Buy Now, Pay Later (BNPL) as a concept and a loan product has become the most in-demand financing option to pay for groceries to existing loan repayments.